Main Street Office Building — HVAC Replacement

Proposal

1200 Main Street, Suite 100, Birmingham, MI 48009

April 1, 2026

Prepared for David Thornton

Thornton Property Group

P-2026-042

1404

April 1, 2026

David Thornton
Director of Facilities
Thornton Property Group

Thank you for the opportunity to submit our proposal for the HVAC replacement at your Main Street office building. We have carefully reviewed the project documents and conducted a site walk on March 25, 2026.

Reeves Mechanical has completed over 40 commercial HVAC projects in the greater Detroit metro area over the past 15 years. We are confident in our ability to deliver this project on schedule and within budget while minimizing disruption to your tenants.

01

Company Qualifications

Mechanical Contractor License	MI #2101-038742, exp. 06/2027
General Liability Insurance	$2M per occurrence / $5M aggregate (Hartford)
Workers Compensation	EMR 0.82 (3-year average)
Bonding Capacity	$5M single / $15M aggregate (Travelers)
Safety Record	Zero lost-time incidents, 2023-2025 (180,000 man-hours)
NATE Certified Technicians	14 NATE-certified on staff

Key Personnel

Mike Reeves	Project Executive — 22 years commercial HVAC
Sarah Chen	Project Manager — 12 years, 30+ tenant-occupied retrofits
Tom Kowalski	Lead Superintendent — 18 years field operations

02

Scope of Work

- **Demolition and removal of existing rooftop units (4 units, 25-ton each)**
  - Disconnect and cap existing refrigerant lines per EPA Section 608
  - Crane removal of existing RTUs, haul off-site for proper disposal
  - Patch and seal all existing roof penetrations
- **Furnish and install four (4) new Carrier 50XC 30-ton high-efficiency rooftop units**
  - Units include economizer, VFD supply fans, and BACnet controls
  - New roof curb adapters with full gasket seals
  - Factory start-up and commissioning by Carrier-certified technician
- **Ductwork modifications to accommodate new unit connections**
  - Transition fittings from new RTU supply/return to existing trunk duct
  - Replacement of first 20 LF of supply and return trunk from each unit
  - Rebalance airflow to all zones served by replaced units
- **Controls integration with existing Tridium Niagara BAS**
  - BACnet integration of all four new RTUs to existing building automation system
  - New zone sensors where existing are obsolete (estimated 12 sensors)
  - Updated sequences of operation and graphics
- **Electrical connections for new equipment**
  - New disconnect switches at each RTU location
  - Verify and upgrade circuit breakers as needed for new unit amperage
  - All wiring per NEC 2023 and local amendments

- **Crane and rigging for equipment placement**
  - Mobilize 100-ton hydraulic crane for 2-day equipment swap
  - Traffic control and road closure permits included
- **Testing, adjusting, and balancing (TAB)**
  - Full TAB report by NEBB-certified balancer
  - Verify all zones within +/- 10% of design CFM
- **Permits, inspections, and project closeout**
  - Mechanical permit and all required inspections
  - O&M manuals, warranty certificates, as-built drawings
  - Owner training session (2 hours) on new equipment operation

Assumptions

- Existing electrical service has sufficient capacity for new equipment loads.
- Roof structure adequate to support new RTU weights without modification.
- Building is occupied; work sequenced to maintain tenant comfort.
- Normal working hours: Monday through Friday, 7:00 AM to 5:00 PM.
- Owner provides temporary storage area on-site for materials and equipment.

03

Exclusions

The following items are expressly excluded from this proposal. Any work outside the defined scope will require a written change order.

- Structural modifications to roof deck or building structure
- Asbestos abatement or hazardous material removal
- Replacement of interior ductwork beyond 20 LF from each RTU
- Fire alarm system modifications or fire damper replacement
- Architectural ceiling repair or replacement
- Painting, patching, or cosmetic repairs beyond mechanical penetrations
- Natural gas piping modifications (units are electric heat)
- After-hours or weekend work premium (standard Mon-Fri 7AM-5PM)
- Performance or payment bond (available upon request at additional cost)

04
Pricing

BASE BID AMOUNT

$448,500

Furnish all labor, materials, equipment, and supervision to complete the HVAC replacement as described in Section 02 — Scope of Work. Price includes all permits, crane/rigging, TAB, commissioning, and project closeout documentation.

Alternates

#	Description	Type	Amount
Alt #1	Upgrade to Carrier 50XCW variable refrigerant flow (VRF) rooftop units with enhanced part-load efficiency (IEER 18.5 vs. base 14.2)	Add	**+$45,000**
Alt #2	Add CO2 demand-controlled ventilation sensors to all four units (reduces outside air energy by estimated 15-20%)	Add	**+$12,800**

* Pricing valid for 30 days from proposal date.
* Sales tax not included — owner to provide tax-exempt certificate.
* Material pricing subject to escalation for orders placed after May 15, 2026.

05

Proposed Schedule

PROJECT DURATION

12 weeks

Commencing within 2 weeks of executed contract and Notice to Proceed

#	Milestone	Duration / Date
1	Equipment procurement and submittals	Weeks 1-4
2	Mobilization, staging, and roof prep	Week 5
3	RTU #1 and #2 removal and installation	Weeks 6-7
4	RTU #3 and #4 removal and installation	Weeks 8-9
5	Ductwork modifications and controls integration	Weeks 9-10
6	Testing, adjusting, and balancing	Week 11
7	Commissioning, punchlist, and closeout	Week 12

* Schedule assumes uninterrupted access to roof and mechanical spaces during work hours.
* RTU replacements sequenced to maintain partial HVAC service throughout construction.
* Owner-caused delays or weather days beyond 5 cumulative may extend schedule.

06

Terms & Conditions

Payment Terms	Net 30 from date of approved monthly application for payment. Applications submitted by the 25th of each month.
Retainage	10% retainage on all progress payments, reduced to 5% at 50% completion, released in full at substantial completion and receipt of all closeout documents.
Change Orders	All changes to the scope of work require written authorization from Owner before work proceeds. Change order pricing based on actual cost plus 15% overhead and 10% profit.
Warranty	One (1) year warranty on all workmanship from date of substantial completion. Manufacturer warranties on equipment per standard terms (5-year compressor, 1-year parts).
Insurance	Contractor maintains Commercial General Liability ($2M/$5M), Workers Compensation (statutory), and Commercial Auto ($1M) for the duration of the project. Additional insured endorsement provided upon request.

Additional Terms

- Owner responsible for maintaining clear access to work areas per agreed schedule.
- Contractor not responsible for pre-existing conditions discovered during construction.
- Disputes resolved by mediation followed by binding arbitration per AAA Construction Industry Rules.

07

Acceptance

This proposal is valid for **30 days** from the date above. To accept, please sign below and return a copy to our office. Upon acceptance, this document shall serve as authorization to proceed with the work described herein.

Reeves Mechanical, Inc.

Signature

Mike Reeves
Printed Name

President
Title

Date

Thornton Property Group (Acceptance)

Signature

Printed Name

Title

Date